

articulate his thoughts well. Most of the party was a bit too high by then to be paying enough attention to his words.

Not I, though. I had taken just a few sips of my first drink of the evening. I wanted to keep my wits about me to hear what some of the best in the industry had to say about the market.

‘I believe Japanese investors are waiting on the sidelines armed with a few billion dollars, looking for a suitable opportunity to invest,’ somebody said.

‘I heard that some of them have already started deploying the money,’ another said.

‘Ah, one should be careful then, I guess. Next to retail investors, the entry of Japanese investors is the surest sign of a market top,’ somebody else said, prompting laughter from the crowd.

The conversation then veered to how India was the best bet among emerging markets, and how India’s GDP growth would surpass China’s before long.

‘People say India is expensive. Still, foreigners will have no choice but to buy at these prices or even higher. After all, how many countries other than China can boast of a GDP growth like ours?’ one gentleman said.

Somebody mentioned the Reliance Power IPO and the risk of a liquidity squeeze in the short term. This concern was immediately brushed aside.

‘*Arre baba*, you have no clue about the money waiting on the sidelines. Even if two issues like Reliance Power were to be launched simultaneously, they would be absorbed without much trouble,’ one mid-level market operator remarked.

The others nodded in agreement and raised another toast to the market.

It seemed to me that nobody wanted to talk about the possibility of a correction or a fall for fear of being laughed at. I saw this as another sign of irrational exuberance, strengthening my theory that a steep fall would not be long in coming.

The market began 2008 on a sedate note, with the Sensex climbing just 15 points. By the tenth of the month, the Sensex had made a fresh record high of 21,206, but ended the day nearly 300 points below the previous close. The index was struggling to close above 21,000 despite having topped that mark during three consecutive sessions. A few days before this, Reliance Power had announced a price band of Rs 405-450 for its 26 crore-share issue, which would be open for subscription from 15 to 18 January.